

When Does Market Leadership Cross the Line? Nigeria's Rules on Abuse of a Dominant Position

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Being the biggest player in your market is not, on its own, against the law. Nigerian competition law only intervenes once a dominant undertaking uses that position in ways that harm competition itself, rather than simply outcompeting rivals on the merits. The Federal Competition and Consumer Protection Commission (FCCPC), exercising powers conferred on it by Sections 17, 18 and 163 of the Federal Competition and Consumer Protection Act (FCCPA) 2018, has since 2022 had a detailed regulatory framework — the Abuse of Dominance Regulations, addressing Part IX of the Act (Sections 70–75) — for making that distinction, and it has increasingly put that framework to use.

Step One: Is the Undertaking Actually Dominant?

Under Section 70(1) and (2) of the FCCPA, an undertaking is dominant where it can act without regard to the reactions of its customers, consumers or competitors, or where it enjoys a position of economic strength that lets it prevent effective competition in the relevant market. The Commission looks at a cluster of indicators — pricing power, output and innovation, the variety or quality of goods and services, and (for digital businesses) control over data — rather than any single metric.

Market share under Section 70(3) matters, but it is a starting point, not the whole test. An undertaking is presumed singly dominant above a 40% share of the relevant market, and collectively dominant (together with related undertakings) at a combined share of 50% or more. The Commission will still weigh those numbers against the realities of the market: how differentiated the products are, how the market is trending, and whether the share has been stable or is being eroded.

Before dominance can even be assessed, the Commission must first delineate the relevant market under Section 71 and its own Notice on Market Definition — a separate exercise that asks what other products or suppliers a customer could realistically switch to, alongside the constraints imposed by existing competitors, the credible threat of new entry, and the bargaining strength of customers, as required by Section 72(3) of the Act. Only once that boundary is drawn does it make sense to ask whether a given undertaking dominates within it.

Step Two: Has That Dominance Been Abused?

Holding a dominant position only becomes a problem once Section 72(2) of the Act is engaged. The Regulations identify several recognised forms of abuse:

- Excessive pricing under Section 72(2)(a) — charging significantly above the cost of production, or a price that is unfair when compared with competing products, where the market has high entry barriers and consumers lack credible alternatives.
- Refusal to supply or deal, or to provide access to an essential facility, under Section 72(2)(b) and (d), where the input is genuinely indispensable, no alternative source exists, and the refusal is likely to eliminate competition or harm consumers.
- Tying, bundling and multi-product rebates under Section 72(2)(d)(iii) — conditioning the sale of one product on the purchase of another, where the two are distinct products and the practice is likely to foreclose competitors from the tied market.
- Predatory pricing under Section 72(2)(d)(iv) — deliberately pricing below cost for long enough to discipline or eliminate a competitor, with the expectation of recouping the loss later through higher prices.

- Exclusive purchasing obligations under Section 72(2)(d)(i) that require a customer to source at least half its requirements from the dominant undertaking, where this forecloses competitors from reaching customers.

The Efficiency Defence

Even where abusive conduct is established, Section 72(3) of the Act allows a dominant undertaking to argue that the conduct produces genuine efficiencies. This defence has four cumulative conditions: the efficiencies must be real and substantiated; consumers must receive a fair share of the resulting benefit (the "pass-on" condition); the conduct must, under Section 72(3)(b), be reasonably necessary (indispensable) to achieve those efficiencies; and, under Section 72(3)(c), the conduct must not eliminate competition in a substantial part of the market. All four must be satisfied — meeting three out of four is not enough.

How an Investigation Unfolds

Where the Commission considers that an undertaking has abused its dominant position contrary to Section 72(1), it institutes an administrative process under Section 73 of the Act. Any affected person — or, in fact, any Nigerian citizen, whether directly affected or not — may lodge a complaint with the Commission. Once a complaint is received, the Commission typically notifies the undertaking under investigation within seven days, and other affected parties have ten days to respond in writing. The Commission can then request documents, interview witnesses, and conduct company inspections, announced or otherwise, before publishing its decision under Section 73(1). A party aggrieved by that decision has thirty business days to appeal to the Competition and Consumer Protection Tribunal.

Two practical gaps are worth flagging for businesses navigating this process: the Regulations do not currently require a complaint to be made under oath, which leaves room for speculative or tactical complaints; and inspections may be carried out without advance notice to the company concerned. Both are points worth raising through counsel if they arise in a live investigation.

The Practical Takeaway

Scale and market leadership are not, by themselves, legal risks. What creates exposure is using that position to foreclose rivals, extract unfair terms from trading partners, or price in ways that cannot be explained by ordinary competitive behaviour. Businesses with significant market share should build a standing practice of documenting the commercial rationale for pricing, supply, and bundling decisions — that record is often what separates a defensible business decision from an abuse finding.

A note on currency of the law

The Abuse of Dominance Regulations were finalised in 2022 and remain in force; the tests summarised here (the Section 70 dominance test, the 40%/50% market-share presumptions, and the recognised forms of abuse under Section 72) are unchanged from that final version.

This is no longer a purely theoretical framework: the FCCPC has since brought a number of high-profile abuse-of-dominance investigations and enforcement actions against large domestic and multinational undertakings, including significant financial penalties, and the Commission has publicly signalled an intention to scrutinise dominant digital platforms more closely going forward.

In April 2026, the FCCPC issued exposure drafts of new Authorisation, Exemption and Guidance Regulations (Non-Merger Matters) 2026, which would reorganise how dominant-firm conduct is analysed — separating agreement-based conduct (which would remain subject to the existing exemption regime) from unilateral conduct (which would be addressed through a new, non-binding Commission guidance mechanism). The consultation period closed in May 2026 and the draft had not been finalised as at the time of writing; businesses in concentrated markets should watch for the final version, as it may change how — though not necessarily whether — certain

unilateral conduct is assessed.

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